

ECON 2010 – Macroeconomics

**Spring Term 2018
Business and Applied Arts Division
Turney Industrial Complex Campus
Nashville State Community College**

Course Description

Macroeconomics concerns itself with the aggregate behavior of the economy, and this course provides an introduction to understanding that aggregate behavior. The course will examine key macroeconomic variables including, but hardly limited to: national output and output growth, inflation, unemployment, inequality, national debt, the deficit, immigration, trade and financial markets. We will explore how these variables change, with a particular emphasis on how government policies affect these variables. The course will spend significant time developing your understanding how the economy performs over different time frames — the short, medium and long runs.

The course coverage and material will emphasize historical and contemporary economic issues facing the U.S. economy, but other countries will also receive some coverage. Throughout the course, we will engage with macroeconomic ideas in the abstract, but we will also spend significant time mapping these ideas onto many different real world events and debates about the U.S. economy. To give some examples, in this class you'll learn more about:

- How President Trump's tax plan signed into law at the end of 2017 might affect economic growth, employment and income inequality;
- The origins of the 2007 financial crisis and subsequent Great Recession and the efficacy of the strategies to mitigate the negative economic effects; and
- Whether trade with China helps or hurts the U.S. on various economic dimensions.

Just as you will learn about these specific macroeconomic topics, you will also learn broader principles and tools that economists use to understand the world. These principals and tools will give you insights beyond just the macroeconomy — by the end of the course, you'll be able to "think like an economist," as well as understand the strengths and limitations of doing so.

Prerequisites and Course Fullfillment

This course requires level 2 placement in English and Reading.

The course will require basic mathematical computation (adding, subtracting, multiplying and dividing). More advanced math will be taught when necessary in order for you to understand the course content.

This course fulfills the general education requirement for Social Sciences, and is part of the general education core.

I m p o r t a n t D a t e s

Last date to withdraw without a “W” appearing on your transcript: **January 29.**

Last date to withdraw with a “W” appearing on your transcript: **March 26.**

The in-class midterm exam is **March 7.** The in-class final exam is **May 2.**

C o u r s e O b j e c t i v e s

By the end of this course you, as a student, will be able to:

1. Apply basic principles of economic thinking to questions about the way that the world works;
2. Differentiate between questions and answers about the way the world works (*positive* questions) and the way that one might think the world *should* work (*normative* questions), particularly as they relate to the macroeconomy;
3. Identify and explain basic measures of the macroeconomy (e.g. unemployment, inflation, growth, etc.);
4. Evaluate the effects of government policies and other changes on measures of the macroeconomy, particularly over different time frames;
5. Perform basic computational, algebraic, graphical and statistical operations in the service of economic analysis;
6. Understand news coverage of contemporary macroeconomic issues and events and communicate about the macroeconomy in your own writing.

A s s i g n m e n t s

There are a variety of assignments that will be used to assess your progress towards the above learning goals. A brief description of each is provided below. Please note that no single assignment constitutes the majority of your grade. More information on the below assignments will be provided in class.

Class Participation. 20%

Our class will depend on students who are prepared for class and who are actively engaged for its success. To that end, a significant portion of your grade depends on whether you have completed

the reading and assignments before you arrive to class, your willingness to engage fully in classroom activities, and your ability to both offer quality contributions to discussion and questions posed by your instructor and to listen to and engage with the contributions of your fellow classmates. Simply attending class is insufficient to receive all available points for participation. More on the evaluation of participation is provided later in the syllabus.

Problem Sets (Bi-Weekly Homework). 30%

Mastering concepts discussed during class and presented in your readings requires your active engagement. The (approximately) bi-weekly problem sets are designed to provide you an opportunity to obtain that mastery. These assignments will be completed on your own time outside of class. Your answers must reflect your work and your work alone — problem sets are *not* group assignments. Seeking help from anyone beyond your instructor, or materials beyond the textbook, and your notes is a disservice to your own learning and a violation of the honor code. Your problem sets must be **completed in pen, not pencil**.

You must show your work on your problem sets where applicable. The course emphasizes developing ways of thinking and strategies for problem solving. Therefore, *how* you arrived at a solution is actually *more* important than the final answer itself. Technically incorrect answers may be the result of a simple computational error despite demonstrating conceptual mastery and an appropriate problem solving strategy. Such answers will receive most of the available points. In contrast, answers that are technically correct but accompanied by no work demonstrating that the student understands *why* they arrived at that solution will receive few of the available points.

Working through problems on your own helps you to develop conceptual mastery. However, one of the limitations of homework is identifying mistakes in your work that indicate a lack of comprehension. In addition, most classes don't provide an opportunity to ask questions to improve your understanding of the material once the assignment is handed in. Therefore, we'll spend time reviewing your work on problem sets during the class when they're due. This will be done in small groups in which you compare your answers to the answers of your peers. Then, as a class, these small groups will share their joint solution to a given problem. There will be ample opportunity for you to ask questions of your peers and the instructor as well.

During this in-class review, you'll indicate which problems you answered correctly (on your own problem set sheet), and you'll note and *explain* places where your answers differed. That is, if you've made a mistake, you'll have to show on your problem set where the mistake was made and how it led to the different answer. In this way, grading the problem sets becomes a learning experience in and of itself. (I will also grade your problem sets). On each problem set there will be 8 available points for indicating your correct answers and correcting mistakes.

Midterm Exam. In Class Week 8. March 7. 20%

To demonstrate your mastery of concepts from the first half of class and your progress towards achieving the course's learning goals, I will administer an in-class mid-term exam during week 8 of the term. Questions on the midterm will be similar to questions on your problem sets, but challenge you further. The midterm will require you to be able to complete basic mathematical calculations (like in the problem sets) *without* the aid of a calculator. Computation will be reasonable given this constraint since this is absolutely *not* a math test.

Economic Analysis Memo. Due April 25. 10%

This assignment asks you to write clearly and cogently about current issues in the macroeconomy. Two weeks before this assignment, I'll provide you with a selection of economic news articles. To complete this assignment, you'll choose one of those articles to summarize and connect to our class content in approximately 3 but no more than 4 pages. First, you'll summarize the article in your own words in approximately 2 paragraphs (i.e. you'll answer the question *What does this article say?*).

Then, you'll link the article's content to our course content by answering questions like the following. *What macroeconomic topics are being discussed in the article?* Explain the topics in your own words. There may be many topics at play in the article, but in a short amount of space, you can't necessarily discuss all of them. I would recommend focusing on three topics at the very most. In doing so, you can get into more explanatory *depth* about each topic and really show how much you know. Prioritize those topics that seem most important in the article (e.g. those that you discussed most in your article summary. You'll also explain: *How is the concept used and applied to the real-world situation in the article?* You'll link

Given your knowledge of the macroeconomic topic, is there anything that the article leaves out or discusses only implicitly? For example, does the article only discuss short run implications but fail to mention what might happen in the medium and long run? Or, as another example, does the article fail to consider an important actor's incentives? Or, for example, are there implications for some other macroeconomic topic (e.g. inequality, unemployment, inflation) that the article doesn't discuss? It's not necessarily the case that your article will blatantly fail to discuss something important. But reporters have word count limits and not everything interesting can be said.

Final Exam. In Class Week 16 (Finals Week). May 2. 20%

To demonstrate your mastery of concepts from the second half of class and your progress towards achieving the course's learning goals, I will administer an in-class final exam during the last week of the term. Although the final exam will focus on material from the second half of the class, the course material is constantly building on itself, and therefore *all* material from class may appear on the exam. Like the midterm exam, the questions on the final will be similar to questions on your problem sets, but challenge you further. Like the midterm, the final exam will require you to be able to complete basic mathematical calculations (like in the problem sets) *without* the aid of a calculator. Computation will be reasonable given this constraint since this is absolutely *not* a math test.

Late Assignments, Make Up Exams and Extra Credit

Because we will review and discuss problem sets in class, **no late problem sets will be accepted.** If you are unable to attend class but have completed your problem set, you may ask a fellow student to turn it in for you with no penalty on **one** occasion. Any other time you complete your problem set and have someone else turn it in (i.e. you are not present to share your answers or correct your mistakes in class), the problem set will lose 7 points.

The economic analysis memo will receive a penalty of one and one third letter grade (13 points) for each week that it is late. For example, if the memo would have received 100 points (A+), but

is turned in one week late, it will receive 87 points (B), and so forth.

Midterm and final exams are completed during class time and are also ineligible to be turned in late. However, in extenuating circumstances when a student is, for reasons beyond their control, unable to attend class during the scheduled exam time a makeup exam will be offered. Students wishing to make up an exam should discuss the circumstances of their absence with me, and decisions for make up exams will be made on a case by case basis. Students should know that the exam questions on make up exams will be different from those on the original exam.

There will not be opportunities for extra credit in the course.

Grading

All assignments will be given a numerical score on a 0-100 scale. These scores will be multiplied by the value of the assignment (see above) and the following scale will be used to assign a final letter grade. Assignments will not be accepted for re-grade.

98-100 A+	88-80.9 B+	78-79.9 C+	60-70 D
93-97.9 A	83-87.9 B	73-77.9 C	below 60 D
90-92.9 A-	80-82.9 B-	70-72.9 C-	

Grade Disputes

I will try my utmost to grade your assignments and exams correctly and fairly. However, I am fallible and may make a mistake. If you think that I have made a mistake in grading your assignment, you may submit your assignment for a re-grade. You must follow the following procedure and guidelines in order to be eligible for a re-grade:

- You must re-submit your **original** assignment (with the grade and my markings on it) or original exam.
- With that original assignment, please submit a **cover sheet** in which you indicate **which part** of the assignment you believe was graded incorrectly (e.g. which problem in the assignment, or which question on the exam) and **why**. I will not re-grade an entire assignment searching for where I may have made a mistake. Instead, please assist me by indicating where you think I have potentially made a mistake.
- You must submit your assignment at the beginning of the **next class** after receiving your graded assignment. That is, you may not wait weeks before submitting an assignment for a re-grade.
- Your original assignment must have been typed or written in **pen**. Assignments written in pencil are not ineligible for a regrade.

Participation and Attendance

Attendance. A significant amount of the learning that will be done in this course will come from listening to and engaging with the ideas of your fellow classmates and participating in in-class activities. Therefore, attendance in all class sessions is required and contributes towards your participation grade. Each unexcused absence will reduce your participation grade by 10 points (a full letter grade).

Absences are only excused for illness/health issues, and institutional circumstances beyond your control (i.e. lockdown). You must discuss the reasons for your absence with me in order for it to be excused. If you miss more than three classes for excused reasons, we'll want to meet and discuss whether and how it makes sense for you to proceed in the course.

Participation. Participation is fundamentally a question of quality rather than quantity. Full marks for participation involves the following. You are fully engaged in class discussion and activities. You both listen and contribute actively. You are well prepared for class. Having done more than merely read any required material, you have spent time thinking *carefully and deeply* about the material's relationship to other materials and ideas presented in previous classes.

You have reviewed your notes from previous classes and you are aware of what you understand and where gaps in your understanding exist. You are willing to ask questions therefore that help you and the rest of the class clarify material and address gaps in understanding.

Where relevant, your ideas about the material are *substantive* (either constructive or critical); and they stimulate class discussions. You question in addition to stating, and you do more than simply offer your opinion, but rather ground opinions that you may offer in the course materials and ideas. You provide space for other students to share their ideas. You *build* on the contributions of your fellow students, and you listen and respond respectfully.

Communication Policy

I encourage students to ask questions about course content, course structure, assignments, or anything else about the class or macroeconomics generally. I will do my utmost to make myself available — during the first 15 minutes of class, during our mid class break, and at the end of class — to help you in any way that I can. To help me help you best, before asking a question about the policies of the course, please be sure you've read the syllabus. I place a lot of information in the syllabus and your question may be answered in this document. Also, don't wait until the last moment to ask an important question! The more you communicate with me and the earlier you do so the more successful we'll all be in class.

Disability Accommodations

If you wish to request any special accommodations for any courses in which you are enrolled, please speak with Molly Lasagna about the appropriate procedure.

The Honor Code

Any form of academic dishonesty, cheating, plagiarizing, or other academic misconduct is prohibited. All students are expected to abide by the honor code and refrain from such misconduct. Abiding by the honor code is a sign of respect to me, your fellow classmates, and to yourself.

Students should familiarize themselves with the below description of violations of the honor code. **It is students' responsibility to ask questions if they are unclear about how the honor code might be violated or if a particular action the student is considering taking might violate the honor code.**

Plagiarism may result from: (1) failing to cite quotations and borrowed ideas, (2) failing to enclose borrowed language in quotation marks, and (3) failing to put summaries and paraphrases in your own words. Academic dishonesty may be defined as, but is not limited to, intentionally trying to deceive by claiming credit for the work of another person, using information from a web page or source without citing the reference, fraudulently using someone else's work on an exam, paper, or assignment, recycling your own work from another course, purchasing papers or materials from another source and presenting them as your own, attempting to obtain exams/materials/assignments in advance of the date of administration by the instructor, impersonating someone else in a testing situation, providing confidential test information to someone else, submitting the same assignment in two different classes without requesting both instructor's permission, allowing someone else to copy or use your work, using someone else's work to complete your own, altering documents, transcripts or grades, and forging a faculty/staff member's signature.

In addition to other possible disciplinary sanctions that may be imposed through regular college procedures as a result of academic dishonesty, the instructor has the authority to assign zero points to the assignment and may also assign a failing grade for the course overall. Students may appeal through the appropriate college grade appeal procedures.

Textbook and Readings

The textbook for the course is O'Sullivan, Sheffrin and Perez (2012). *Economics: Principles, Applications, and Tools*. Seventh edition. Boston: Prentice Hall. In the course schedule, the textbook is referenced simply as "textbook."

Other readings from academic journals, news articles, and blogs may be assigned from time to time. Some will be optional and indicated as such.

COURSE SCHEDULE

*I recommend that you complete **after** each class lecture and to aid in reinforcing our in-class work and to aid in completing the homework.*

PART I. THINKING LIKE AN ECONOMIST

Week 1 – January 17. Introduction and course overview

Topics:

1. What is this course about?
2. Starting to think like an economist
3. Example: The consequences of minimum wage policy
4. Syllabus overview and course policies
5. Math diagnostic

Readings:

1. Textbook: Chapter 1 (pages 1-13)
2. (Optional) Planet Money (August 28, 2014). “A Mall with Two Minimum Wages.” [Transcript]
3. (Optional) PBS News Hour (July 17, 2017). “New study says the minimum wage hike in Seattle is bad for low-wage workers.”

Week 2 – January 24. Principals of economic thinking

Topics:

1. Opportunity costs
2. Thinking on the margin
3. Assumptions, abstraction and isolation
4. Rationality
5. What is a market anyway?
6. Specialization in individual production
7. Math lesson: Plots on the cartesian coordinates

Readings:

1. Textbook: Chapter 2 (pages 28-43), Chapter 3 (pages 49-61).
2. (Optional) Planet Money (March 1, 2017). “Episode 513: Dear Economist, I need a date.” [Transcript]

PART II. SUPPLY, DEMAND, AND NATIONAL PRODUCTION

Week 3 – January 31. Supply and Demand

**** DUE: Problem Set 1 ****

Topics:

1. Review of problem set 1
2. The individual supply/demand curve and market supply/demand
3. Moving along curves vs. shifting curves
4. The market in equilibrium

Readings:

1. Textbook: Chapter 4 (pages 65-90).

Week 4 – February 7. National Production

Topics:

1. Math lesson: Algebraic fundamentals
2. How to measure national production
3. What does GDP contain? What doesn't it contain?
4. Output versus welfare
5. Real versus nominal
6. The business cycle

Readings:

1. Textbook: Chapter 5 (pages 97-115)

Week 5 – February 14. Unemployment and Inflation

**** DUE: Problem Set 2 ****

Topics:

1. In-class review of Problem Set 2
2. Measuring unemployment
3. The natural rate of unemployment
4. The consumer price index
5. Inflation

Readings:

1. Textbook: Chapter 6 (pages 120-136).

Week 6 – February 21. Unemployment and Inflation Continued: Full Employment

Topics:

1. National production with full employment
2. The labor market and the equilibrium price of labor (the wage)
3. Shifts in labor supply and demand versus movements along the curves
4. The crowding out effect

Readings:

1. Textbook: Chapter 7 (pages 139-155).

Week 7 – February 28. Economic Growth

**** DUE: Problem Set 3****

Topics:

1. In-class review of Problem Set 3
2. Math lesson: Calculating rates
3. The key inputs in economic growth: Capital, labor, and technological progress
4. Government policy to create economic growth
5. In class example: President Trump's 4% growth objective

Readings:

1. Textbook: Chapter 8 (pages 158-177).

Week 8 – March 7. **ADRIANE AWAY ** IN CLASS MIDTERM EXAM**

PART III. ROLES OF GOVERNMENT: FISCAL POLICY

Week 9 – March 14. Aggregate Supply and Demand

Topics:

1. Review of (some of) the midterm exam
2. The features of the aggregate demand curve
3. The features of the aggregate supply curve
4. Shifts in aggregate demand and supply versus movement along the curve
5. Preliminary discussion: The short run versus the long run
6. ****In-class evaluation of the class and your instructor****

Readings:

1. Textbook: Chapter 9 (pages 185-202)

Week 10 – March 21. Fiscal Policy

**** DUE: Problem Set 4 ****

Topics:

1. In-class review of problem set 4
2. What is fiscal policy?
3. The federal budget: Revenue and expenditure
4. Budget deficits and surplus
5. Multipliers

Readings:

1. Textbook: Chapter 10 (pages 205-220).

PART IV. ROLES OF GOVERNMENT: MONETARY POLICY

Week 11 – March 28. Money, Banking and Financial Markets

Topics:

1. What is money and why is it valuable?
2. The supply of money
3. Lending and borrowing
4. Interest rates
5. Investments
6. Present discounted value

Readings:

1. Textbook: Chapters 12 and 13 (pages 253-286).

Week 12 – April 4. Monetary Policy

**** DUE: Problem Set 5 ****

Topics:

1. In-class review of problem set 5
2. The Federal Reserve system
3. The dynamics of the supply and demand of money
4. The national debt versus the deficit
5. In class example: President Trump's tax plan, the debt and the deficit

Readings:

1. Textbook: Chapter 14 (pages 291-307), and Chapter 16 (pages 329-336 only).

PART V. THE DYNAMIC ECONOMY

Week 13 – April 11. The Economy in the Short and Long Run

Topics:

1. Review of the full employment model of the economy
2. Defining the short and long runs
3. The dynamics of economic adjustments after different events

Readings:

1. Textbook: Chapter 15 (pages 311-325).

PART VI. THE MACROECONOMY IN THE INTERNATIONAL ECONOMY

Week 14 – April 18. The Movement of Goods

**** DUE: Problem Set 6 ****

Topics:

1. In-class review of problem set 6
2. Specialization and the theory of comparative advantage
3. Supply, demand and international trade
4. Barriers to trade
5. Example: The steel industry in the U.S. and China.

Readings:

1. Textbook: Chapter 1 (pages 51-54 only); Chapter 18 (pages 364-381).

Week 15 – April 25. The Movement of Money

**** DUE: Economic Policy Memo ****

Topics:

1. The supply and demand of currency: The exchange rate
2. Controlling the exchange rate
3. Balance of payments
4. Current, capital and financial accounts

Readings:

1. Textbook: Chapter 19 (pages 385-405).

Week 16 – May 2. ** IN CLASS FINAL EXAM **